The history of economic and commercial relations between Ecuador and China is recent. Even though a commercial treaty was signed in 1975, diplomatic relations with the opening of embassies took place only five years later. The first petroleum contract with a Chinese firm was in 2003 with the CNPC for Block 11 located in the northeast of the Ecuadorian Amazon. The US Santa Fe Company had explored the block without finding any oil and subsequently it had passed into the hands of the Lumbaqui Oil Company of Ecuador. According to Alexandra Almeida,[3] two things were surprising about the Chinese interest in this petroleum field. The first is that CNPC prospecting took place in two conservation areas, the Sumaco Park and the Cayambe Coca Reserve outside of the projected area; and the second event was that, despite the failure of the search for oil by the two former companies, the CNPC insisted on taking over the field. It did not find oil but it remained operating in Ecuador. During its activity in Block 11, the company had a severe social and environmental impact, according to Acción Ecológica.[4]

The Chinese consortium (CNPC and SINOPEC) also negotiated for Blocks 14 and 17 held by the Encana Company for a sum of about US$1.5 billion. Among the assets for sale were the 36.3% participation that Encana held in the OCP oil pipeline (the principal pipeline in Ecuador) and a future 40% participation in Block 15 and the Edén-Yuturi and Limoncocha oil fields where Occidental was operating. Simultaneously CNCP and SINOPEC acquired five petroleum blocks with an extraction of 75 200 barrels a day and proven reserves of 143 million barrels as well as 36% of OCP (*China Daily* 2005). At the same time, on 30 May 2006, the government authorised the transfer of City-AEC Ecuador's shares and a name change as well as the block known as Tarapoa to the Andes Petroleum consortium consisting of CNPC and SINOPEC International; the same consortium also took charge of the Estación de Transferencia de Crudo (LTF, Crude Oil Transfer Station) in order to become one of the major foreign investors in Ecuador.

Meanwhile, a new consortium of Chinese companies, PetroOriental SA, began operations in Orellana and Pastaza provinces with two blocks in the Yasuní National Park.[5] China's exploitation of the above-mentioned fields occasioned a high degree of social conflict in addition to impacts on nature, as Alexandra Almeida recalls:

> In Tarapoa there was a very big strike to avoid drilling, it is possible that subconsciously they wanted to negotiate better but the community was mobilised; they began to have very serious conflicts with the Chinese